

cut in half the amount of bitcoin issued in coinbase transactions.¹¹ This event is known as a “block reward halving” or “halving” for short.

On November 28, 2012, the first halving of the block reward from 50 bitcoin to 25 bitcoin happened, and the second halving from 25 bitcoin to 12.5 bitcoin occurred on July 9, 2016. The third will happen four years from that date, in July 2020.¹² Thus far, this has made bitcoin’s supply schedule look somewhat linear, as shown in [Figure 4.1](#).

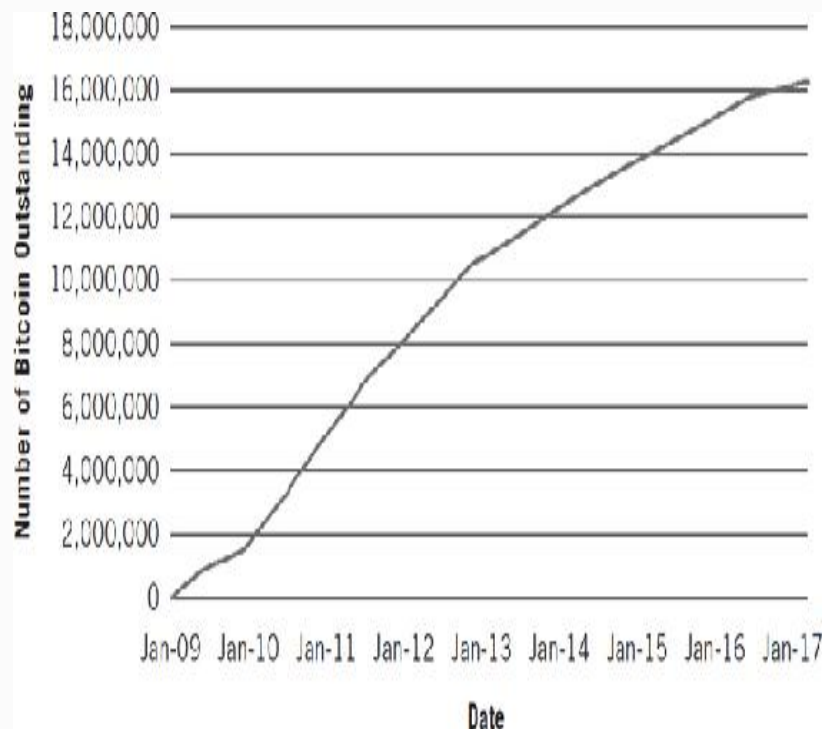


Figure 4.1 ■ Bitcoin’s supply schedule (short-term view) Data sourced from [Blockchain.info](https://blockchain.info)

However, when we step back and take a longer-term perspective, bitcoin’s supply trajectory looks anything but linear (see [Figure 4.2](#)). In fact, by the end of the 2020s it will approach a horizontal asymptote, with annual supply inflation